HUD Form 9250: *Requesting Replacement Reserve Funds*

How Borrowers Access the Reserve, and the HUD-9250 Request Process

Every HUD-insured multifamily loan carries a capital expenditure replacement reserve that the borrower funds every month alongside their monthly debt service. This guide covers how an owner can access that reserve via the HUD-9250 form and what the reserve can pay for.

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WHERE IT COMES FROM

How the Reserve Amount Is Set, and Why Withdrawals Run Through *HUD*

A Reserve for Replacements is required on every HUD-insured mortgage per the HUD loan agreement. The initial deposit and the monthly deposit are both set during underwriting from the project's Capital Needs Assessment report (PCNA), which schedules the property's expected capital expenditure needs over a 20-year horizon — so the deposit is built from actual replacement timing, not a percentage of the loan amount. We walk through how that number gets set in how HUD sizes a 223(f) mortgage.

Getting money out of the replacement reserve runs through a defined HUD procedure, and it catches some first-time borrowers off guard because the money does not move the way they expect. You file a request with HUD, HUD approves it, and only then does the lender release the funds.

The requirement comes from the Regulatory Agreement, which puts the reserve under the lender's control and bars any disbursement without HUD's written consent. That is the legal reason the request routes through HUD rather than straight to your servicer.

Releases from the reserve are one of two places the Regulatory Agreement governs cash leaving the project. The other is the annual distribution of surplus cash, which runs on its own test and its own calendar.

Timing — when draws actually start. On new construction and substantial-rehabilitation deals, there is usually little to replace in the early years: roofs are guaranteed, appliances are under warranty, and latent defects are bonded, so reserve draws are rare at first.

A 223(f) is different by nature. It finances an existing, often older property that may already have capital items near the end of their useful life, so those projects can draw from the reserve at any time after Final Endorsement.

02

WHAT IT PAYS FOR

Capital Replacement, Not *Routine Maintenance*

In determining what items qualify for being funded by the reserve account, HUD makes the distinction between capital replacement and routine operating expense. Items you would capitalize and depreciate generally qualify. Items you would expense as day-to-day upkeep generally do not. HUD publishes generic lists of both, and they are the starting point for any request.

Generally eligible — capital replacements:

- Major appliances — refrigerators, ranges, and similar
- Extensive replacement of sinks, counters, tubs, water closets, and doors
- Major roof work, including gutters, downspouts, and soffits
- Major plumbing and sanitary system repairs
- Central HVAC replacement or overhaul — boilers, chillers, cooling towers, furnaces
- Elevator system overhaul
- Major repaving, resurfacing, or sealcoating
- Repainting the entire building exterior, and extensive siding replacement
- Exterior (lawn) sprinkler systems
- Swimming pool replacement or major repair

Generally not eligible — routine operating and maintenance costs:

- Interior repainting of units or common areas
- Range burners, oven elements, controls, valves, and wiring

- Window-unit AC parts — fan motors and compressors
- Minor HVAC repairs — valve replacement, boiler cleaning
- Minor roof, gutter, and paving repairs
- Caulking, sealing, and window and screen repairs
- Maintenance tools and minor office equipment — mowers, snow blowers
- Fire-extinguisher inspection or recharge, and other routine maintenance

New capital **improvements**, not just like-for-like replacements of old systems, can also qualify — e.g. adding air conditioning to a building that never had it, or adding gutters where they are needed — if HUD agrees the improvement enhances the mortgage security, improves the property's competitive position, or is required by a change in law, and does not excessively drain the fund.

> **An underwriting lever worth raising with your lender.** Where a recurring capital item is already carried in the operating statement — as a line in repairs within the NOI — it does not also need to sit in the PCNA's 20-year reserve schedule. Pulling it out of that schedule lowers the modeled capital need, which lowers the initial deposit, the annual deposit, or both.
>
> On a 223(f), a lower reserve deposit leaves more net operating income available for debt service, which can size into higher loan proceeds — and on a cash-out refinance, more cash out. The trade-off is on the back end: once an item is funded through operations rather than the reserve, you cannot turn around and request it for reimbursement from the replacement reserve. This is the kind of structuring call we flag before the PCNA is finalized, because it is hard to unwind once the schedule is set.

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THE REQUEST

Form HUD-9250, and *Where It Goes*

Every release runs through the HUD-9250 "Funds Authorization" Form. It covers both the replacement reserve and the residual receipts account, with a checkbox at the top to pick which. In practice your lender sends you a template 9250 already filled in with your specific project number, name, and address — usually as part of the post-closing welcome package — and you supply the replacement item and the dollars.

THE FORM — HUD-9250, FUNDS AUTHORIZATION
Hosted by HUD, which is always the current version. Download Form HUD-9250 from HUD →

Page one is where you mark what you are asking for: a reimbursement for work already done or an advance for work about to be done. Page two is where you itemize — each expense, its purpose, the amount, and the current reserve balance — and sign the owner certification.

> **You do not send the 9250 to your lender. You send it to HUD.** HUD's asset-management staff review the request, and if it is approved, HUD signs the form and returns it authorizing the release. Only then does your lender — the mortgagee of record — disburse, typically by ACH or check into the project's operating account. Sending the form straight to your lender does not speed anything up, because the lender has no authority to release funds without HUD's written approval.

The flow, start to finish:

STEP	WHAT HAPPENS
1	**Complete the 9250.** Your lender provides a project-specific form (usually in the post-closing welcome package). For each request, mark the action, itemize the expenses, attach supporting documentation, and sign the certification.
2	**Submit to HUD.** Send it to the HUD asset-management inbox for your region, with the subject line formatted as below.
3	**HUD reviews and approves.** HUD generally targets 30 days from receipt, then returns the signed authorization.
4	**You forward the approval to your lender.** HUD is inconsistent about forwarding it on your behalf, so do not wait — send it yourself.
5	**Lender disburses.** Funds move to the project operating account by ACH or check.

One submission detail matters. Requests go to a regional HUD asset-management inbox, not to a specific HUD account executive (AE). HUD asks that you not copy your assigned AE, because it duplicates the request and interferes with their logging. Format the subject line as **Request Type, Project Name, FHA Project #** — for example, "RFR 9250, Market St Apartments, 121-11111."

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WHERE TO SUBMIT

HUD Asset-Management *Inboxes by Region*

HUD routes replacement reserve requests through regional incoming inboxes. The routing below reflects HUD's published asset-management inboxes at the time of writing.

REGION	ASSET-MANAGEMENT INBOX
Southwest	MFSouthwest@hud.gov
Midwest	CHI.incoming@hud.gov — IL, IN, parts of WI DET.incoming@hud.gov — MI, OH MN.incoming@hud.gov — MN, parts of WI

REGION	ASSET-MANAGEMENT INBOX
Southeast	ATL.incoming@hud.gov and JAX.incoming@hud.gov Properties served by the Jacksonville satellite office go to JAX.
Northeast	NY.incoming@hud.gov — NY, NJ, PA BOS.incoming@hud.gov — MA, RI, CT, ME, NH BAL.incoming@hud.gov — MD, VA, WV, DE, DC
West	DEN.incoming@hud.gov — AZ, CO, MT, ND, OR, SD, UT, WA, WY SF.incoming@hud.gov — AK, CA, HI, ID, NV

HUD reorganizes offices and inboxes from time to time. Confirm current routing with your lender or HUD before you submit.

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BIDS & INVOICES

Bids, Invoices, and the *Dollar Thresholds*

The support documentation you attach depends on whether you are asking for a reimbursement or an advance.

Reimbursement — work already done. Attach paid invoices. Because the work is finished and the cost is known, the paid invoice is your core documentation — bids are primarily an advance requirement, since on a reimbursement the actual cost is already established. HUD can still ask to see the bids you obtained on a larger job. Under HUD's optional expedited procedures you do not always have to submit the invoices, as long as your description of the work is detailed enough for HUD to inspect and verify it. Either way, keep the originals on file for at least three years and have them available if HUD asks.

Advance — work about to be done. Because the work hasn't happened yet, an advance has to be justified with competitive pricing. Submit at least three bids along with the bid specifications, a signed contract, and a short statement of why you need the funds in advance. If the selected bid runs over $25,000 and you received more than three bids, include copies of all of them rather than just three. If you did not take the low bid, say why — quality, materials, timeline, and urgency all count. HUD can approve an advance in installments tied to the contract rather than releasing the full amount up front.

Large withdrawals — a size threshold, not a bid rule. Separately from the bid requirements, any withdrawal of more than 20% of the fund balance should be discussed with HUD before you file, and is more likely to draw an inspection. The point of that conversation is to agree on how the reserve gets replenished, and it applies to reimbursements as much as advances.

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TIMING & MINIMUMS

How Often, How Low the Balance Can Go, and *What Else the Form Does*

HUD generally does not recommend filing more than quarterly unless you have an emergency. For reimbursements, request within the same project fiscal year as the expense — ideally at least 60 days before fiscal year-end — so the release lands in the right year.

On the balance itself, HUD monitors but does not have a mandated floor. HUD starts to become concerned if the balance starts to drop below $1,000 per unit — especially if large items were scheduled soon on your PCNA's 20-year schedule.

Beyond reimbursements and advances, the same HUD-9250 form covers a few less-common actions: changing the monthly deposit amount, suspending deposits altogether on a seasoned, well-run project that keeps its minimum balance, a loan advance to be repaid into the fund, and releases from the residual receipts account rather than the replacement reserve. The mechanics are the same in every case — mark the action, document it, and route it through HUD. A deposit suspension in particular is a privilege HUD grants based on management quality and physical condition, not a right, and it comes with conditions including keeping the fund at its minimum threshold.

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FAQ

Frequently Asked *Questions*

What is HUD Form 9250?

Form HUD-9250, "Funds Authorization," is the form HUD uses to approve every release from a project's replacement reserve or residual receipts account. The same HUD 9250 also handles deposit changes, deposit suspensions, and loan advances repaid into the fund — checkboxes at the top select the action. Your lender typically provides a project-specific copy in the post-closing welcome package; you complete it, attach documentation, and submit it to HUD's regional asset-management inbox.

Can I draw from my replacement reserve right after closing?

Yes. Those projects are eligible to draw from the reserve at any time after Final Endorsement. New construction and substantial-rehabilitation projects are different — they generally do not draw in their early years, because the work is still under warranty, bond, or roof guarantee.

Do I send the HUD-9250 to my lender or to HUD?

To HUD. The lender cannot release reserve funds without HUD's written approval, so the request goes to HUD's regional asset-management inbox first. After HUD approves, you forward the approval to your lender and they disburse to the project operating account.

How long does HUD take to approve a request?

HUD generally targets 30 days from receipt to act on a request, though timing varies by region and by how complete the package is.

What can't the replacement reserve be used for?

Routine operating and maintenance costs: interior repainting, minor repairs, caulking and sealing, window and screen repairs, maintenance tools, and fire-extinguisher recharges. The reserve is for capital replacement, not day-to-day upkeep.

How often can I request funds?

HUD generally prefers requests come no more than quarterly, unless there is an emergency requirement.

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WHO WE ARE

Who We Are and *How to Engage Us*

Wim Roach and Brian Lorenz are Vice Presidents at Centennial Mortgage, Inc., a HUD-approved Multifamily Accelerated Processing (MAP) lender. Brian spent the early part of his career as a Senior HUD Underwriter, underwriting HUD multifamily loans across the 223(f), 221(d)(4), 223(a)(7), and 241(a) programs and also leading the Agency intake for the Northwest. Wim has been in HUD originations since 2014 and has closed roughly $1.5 billion across the programs. Between underwriting and origination, the team has roughly 20 years on HUD multifamily.

Centennial retains servicing on the loans we originate, which is unusual among MAP lenders — many HUD originators sell servicing to a third party at closing. The replacement reserve is a good example of why that matters: the lender you close with is the same lender you will be working with on reserve draws, transfers, and the operational items that come up over the next 35 to 40 years. When a borrower has a question about the HUD-9250 or whether an item is eligible, they are calling the people who closed the loan.

If you are working through a HUD reserve question, or evaluating a HUD-eligible deal — an acquisition, a refinance, a new construction project, or an addition to an existing HUD-insured asset — we would welcome a conversation. We will give you a fast, honest read, with no obligation.

Wim Roach & Brian Lorenz

HUD/FHA Multifamily Origination

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